Ke Cheng HSU (Clio)
Department of Economics, The Hong Kong University of Science and Technology
Clear Water Bay, Kowloon, Hong Kong · +852 6840 9753
khsu@connect.ust.hk · cliohsu1997.github.io

2 November 2026

Faculty Search Committee
International College of Liberal Arts, Yamanashi Gakuin University
faculty.search@c2c.ac.jp

Dear Members of the Faculty Search Committee,

I am writing to apply for the Lecturer / Associate Professor / Professor position in Economics and Finance at the International College of Liberal Arts (JREC-IN D126101270). I am a Ph.D. candidate in Economics at the Hong Kong University of Science and Technology. My expected graduation date is June 2027, and I can move my defense forward and complete the degree earlier upon receiving an offer so that I can begin on 1 April 2027. My research fields are Empirical Industrial Organization and Digital Economics.

My job-market paper, "Designing Return Policy in E-Commerce: A Trade-off between Purchase and Return Efficiency," studies how return policy affects both the purchase margin and the return margin. A stricter policy cuts wasteful returns after delivery, while lower return rates make a higher product price more profitable for the seller and can price out efficient purchases. Using Taobao apparel transaction data across six product categories, I estimate a structural model of purchase, return-shipping insurance, and return choices. Pairing a discounted price with a restocking fee balances purchase and return efficiency and outperforms the existing return-shipping insurance policy in most categories.

My second attached paper, "Search for Niches or Generics? Product Designs with Heterogeneous Search Costs" (with Pak Hung Au), studies how firms use product design to direct the search behavior of consumers with different search costs. Low-search-cost consumers search for niche products while high-search-cost consumers search for standardized ones, and a reduction in search costs can raise prices across all designs when consumers switch from standardized to niche segments. In two ongoing projects, with Kohei Kawaguchi and Kei Kawai, I estimate a dynamic oligopoly model on Japanese bookstore data to study how resale price maintenance encourages retailers to hold inventory in low-demand states, yet leaves unsold copies that cannot be cleared by cutting prices and are returned at an environmental cost. With Ce Bian and Liang Zhao, I study pass-through and tax incidence when products can be returned, and show that a tax can create negative pass-through and raise welfare by reducing the return rate.

iCLA's English-medium liberal arts program is a strong fit for my teaching background. The post asks for undergraduate courses in macroeconomics, intermediate macroeconomics, and econometrics, and welcomes international finance, risk management, and portfolio management. From 2020 to 2025 I was a teaching assistant at HKUST for undergraduate macroeconomics, the economics of uncertainty and information, and Ph.D. microeconomic theory, with an average evaluation of 4.72/5. In 2026 I designed and lectured the mathematics camp for the MSc in Economics, receiving 4.53/5. For portfolio management and risk management, my undergraduate degree is in Mathematics and Economics with a minor in Actuarial Mathematics, so I am already familiar with mean–variance portfolio choice, the CAPM, diversification, hedging, loss distributions, and value at risk. I would be glad to mentor students, develop interdisciplinary courses for the Global Business and Economics program, and contribute to service at the college.

I attach the iCLA CV, teaching philosophy, the two papers, course evaluations, and signed confirmation of expected graduation. Pak Hung Au, Kohei Kawaguchi, and Kei Kawai will email reference letters directly. You can reach me at khsu@connect.ust.hk or +852 6840 9753.

Sincerely,

Ke Cheng HSU